KRJP Cross Border Bi-weekly Sync

28 Jul 2025

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KRJP Bi-weekly agenda

1. **Overall Performance**
   1a. PnL performance
   1b. OKR performance

2. **For Updates**
   2a. Commercial - JP H2 New Seller Inbound vs. Outbound Value Proposition and Spending Proposal(Haenle, Hongkeun)
   2b. Commercial - JP H2 Growth Drivers and EOY Target (Haenle)
   2c. Commercial - KR H2 New Seller Onboarding Conversion & Partnership Program (Jeha)
   2d. Commercial - [LFF] KR H2 LFF% Target Proposal (Joanne)
   2e. Commercial - [LFF] PH Air Consol Initiative and PnL Implications (Joanne)
   2f. Commercial - [LFF] BR 3PF Channel vs. SLS Seller E2E Cost and Implications (Joanne)

Follow-Up

#	Topic	Action Items	PIC	Deadline	Status
1	Pnl assessment	1) See if current KR, JP pnl is driven by structural vs once-off/recent elements	Haenle/Faye	1st week of Aug(separate meeting will be scheduled) 28Jul	WIP
2	PNL data improvement	Work with Faye and Jia to improve data accuracy and get PRM projection by getting KR/CB PRM contribution % to total PRM 1) Split how much of discrepancy is from each reason : PRM vs SLS-ASF topline projection vs SLS-VF projection	Haenle/Faye		WIP
3	Growth Analysis	1. VN team's insight on KR vs Local/CB performance by category, Logis channel 2. Identify if it's trend or just once-off	Alfred	25 Jul	Done
4	Growth Analysis	Paid Ads Spend and ROAS trend (1) by KR vs. Local/CB (2) by ads type (ex GMV Max)	GYHongkeun Jason	18 Jul	Done
5	Growth Analysis	All markets - excl. Pricing	Songie	22 Jul	Done
6	Growth Analysis	All markets - incl. Pricing	Songie	1 Aug	WIP

Follow-Up

#	Topic	Action Items	PIC	Deadline	Status
7	JP seller acquisition	(1)Cost per Acquisition (2) ADO per acquisition (3) where to spend budget	Haenle	28 Jul	Done
8	KR new seller acquisition & ADO	1) New seller number and topline relevant Teams x each Team KPI x R&R and handover = KR overall new seller before vs after 2) FTE onboarding pipeline and corresponding monthly target until EOY	Jeha	28 Jul	Done
9	LFF	1. (Update) PH: Need to check if we can match SLS UE even with PH air consol subsidy 2. (Update) VN: With VN additional tax 2% introduction on LFF shipment (vs SLS 1%), need to check on cost comparison vs sls for rate competitiveness (*update only if we get update from 3PL vendor in time)	Dabin	Jul 28	Done
10	LFF	Since local budget for LFF will be increased, LFF target will be revisited (*update if only we get get update from reg/local in time)	Joanne	Jul 28	Done
11	LFF	Check latest BR 3PF E2E rates with line haul updates and whether E2E cost per order is competitive vs SLS	Dabin/Sohyun L	Jul 28	Done

1a. Topline

KRJP Jul Topline : KR/JP will fall short of targets with 92%103% ADO RR(projected MoM -10% degrowth, but KRJP would have achieved 100% ADO RR if w/o VN buyer KYC issue) yet hitting PnL target by 116%

Data 7/1-7/23

		Jul 2024	Jun 2025	Jul 2025					YTD YoY % vs. PLT (%p)	Aug 2025
						Projected				
		Y-1 actual	M-1 Actual	Projected	Target	RR	MoM	YoY		Target
KRCB	KR ADO	54,820	61,450	54,777	59,485	92%	-11%	0%	-8%	72,670
	KR ADGMV($)	969,520	1,211,941	1,104,316	1,171,752	94%	-9%	14%	-7%	1,324,390
	KR ADO% to CB	1.90%	1.97%	1.78%	2.01%	88%	-10%	-6%		2.39%
	KR ADGMV(%)	4.71%	5.10%	4.82%	5.12%	94%	-5%	2%		5.64%
	ABS($)	$17.69	$19.72	$20.16	$19.70	102%	2%	14%		$18.22
JPCB	JP ADO	5,027	12,028	11,426	11,088	103%	-5%	127%	167%	10,220
	JP ADGMV($)	219,365	464,864	429,782	415,279	103%	-8%	96%	96%	451,842
	JP ADO% to CB	0.17%	0.39%	0.39%	0.38%	103%	0%	122%		0.34%
	JP ADGMV(%)	1.07%	1.96%	1.88%	1.82%	103%	-4%	76%		1.93%
	ABS($)	$43.64	$38.65	$37.61	$37.45	100%	-3%	-14%		$44.21
KRCB P&L	Revenue ($)	4,368,391	6,587,233	6,250,322	6,603,483	95%	-5%	43%		
	PRM ($)	2,882,314	5,346,485	4,619,101	5,106,632	90%	-14%	60%		
	PC2 ($)	1,163,277	737,926	1,142,682	1,080,560	106%	55%	-2%		
	PC2 (%)	3.87%	2.03%	3.34%	2.97%	112%	64%	-14%		
	Take Rate %	14.53%	18.12%	18.26%	18.79%	97%	1%	26%		
	CIR %	9.59%	14.71%	13.49%	14.06%	96%	-8%	41%		
JPCB P&L	Revenue ($)	608,561	1,719,365	1,732,628	1,545,828	112%	1%	185%		
	PRM ($)	373,188	1,549,664	1,567,125	1,439,412	109%	1%	320%		
	PC2 ($)	164,416	-23,944	-21,608	-54,216	40%	-10%	-113%		
	PC2 (%)	2.42%	-0.17%	-0.16%	-0.42%	39%	-6%	-107%		
	Take Rate %	8.95%	12.33%	13.00%	12.01%	108%	5%	45%		
	CIR %	5.49%	11.11%	11.76%	11.55%	102%	6%	114%		
KRJP SLS	SLS Revenue ($)	4,996,546	5,051,188	4,876,696	4,840,691	101%	-4%	-3%		
	Total SLS Order	1,315,746	1,327,754	1,237,740	1,338,665	92%	-7%	-6%		
	PPO	$0.89	$0.88	$0.90	$0.67	135%	2%	1%		
KRJP P&L (MP PC2 + SLS P&L)		2,499,244	1,885,791	2,233,611	1,917,817	116%	18%	-11%		

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Highlights

1 **KRJP Topline** : KRJP combined Jun MoM -9% showing de-growth(Jul MTD vs. Jun same period) **growing slower than PLT/CB by 9%p respectively mainly from VN buyer KYC policy roll out bound SLS channel toggle off -> without would have hit target with 100% ADO RR**

- Slow 7/7 in two markets(VN 16%/TH 90% order RR) coupled with VN SLS toggle off -> plan to make up 50% of 7/7 order loss by prioritizing paid pkg sellers > JBP sellers
- VN SLS MTD performance is at 87% vs M-1. 7/11-15 saw high ADO recovery at 138% vs M-1 same period from aggressive PRM spending, but dropped to 48% from 7/16-21 -> Pending impact on buyer conversion from local /BPM

2 **KRJP MP PC2 + SLS PnL**: KRJP PnL RR is 116%(MoM +18%) even with KR missing revenue target by 95%(due to VN SLS channel toggle off) as we see quite big underspending in PRM for KR(90% vs. target) while 70% of the PRM spending gap comes from VN($300k less vs. M-1 same period,despite local's additional push on recovery)

- Show continuously good SLS PnL

**Discussion with CBBI on how to improve accuracy and productivity focusing on TH/PH*

1b. OKR

KRJP Jul OKR: JP new seller lagging from less M-1 leads to convert(due to homepage error) while LS short from UST sellers missing KOL collab during d-day but will partially recover from 7/24~25 Tier 1 KOL streaming

KRJP OKR EOM Projections vs. Target

Data 7/1-7/23

	KR/JP OKR	Jun-25	Jul-25			
		Actual	MTD Actual	EOM projection	Target	RR vs. Target %
1	KRJP ADG as % of CB	7.1%	6.6%	6.7%	6.5%	102.6%
	KRJP ADO as % of CB	2.4%	2.2%	2.2%	2.2%	97.7%
2	JP new seller #	392	261	326	418	78.1%
	JP new seller ADO	2,292	2,206	2,197	1,842	119.3%
	JP new seller ADO % to JPCB	19.1%	19.1%	18.3%	17.5%	104.7%
	KR New seller ADO% to KRCB	6.9%	8.0%	8.0%	6.6%	121.8%
	KR ADG share in SEA (TTS + LZD)	86%			89.0%	/
	JP ADG share in SEA (LZD)	96%			97.0%	
	KRCB ADO% to platform's KR origin SKUs ADO	20.5%			34.0%	
	JPCB ADO% to platform's JP origin SKUs ADO	2.2%			2.3%	
	KRJP EBITDA as % KRJP GMV	1.3%	2.4%	2.2%	2.0%	107.8%
3	KRJP LS ADG as % KRJP SEA+TW	7.6%	5.92%	/	8.0%	74.0%
	KRJP Video ADG as % KRJP SEA+TW	3.4%	3.38%		3.6%	93.9%
5	KRJP XDD+NDD coverage %	37.4%	43.0%		34.0%	126.5%
	KRJP average BWT	7.33	6.51		7.42	87.7%
	KRJP CPO	$2.89	$2.92	$3.07	$3.23	94.9%
4	KRJP local fulfilled ADO as % KRJP LFF markets	26.2%	30.1%	30.2%	29.2%	103.5%
	KFBS ADO	2,423	1,734	2,062	1,593	129.4%

Notes
1) OKR items without EOM projections, RR is based on MTD actual vs. Target

Highlights

KRJP Topline related OKR: 1 KRJP will miss ADO penetration to CB topline OKR as mainly from VN SLS channel toggle off impact and buyer KYC hard block(where we see ~50% order recovery vs. M-1 same period)

KRJP Key growth driver OKR:

2 JP's homepage error caused lead loss(apprx. 330 leads, 21% of avg. monthly leads) impact still ongoing and unlikely to hit target even with multiple actions we are taking
- However, Jul's lead # is healthy thus, will normalize in Aug & new seller ADO strong

3 Continued lagging impact from missing KOL collaboration(during d-day due to VN buyer KYC driven SLS channel toggle off) while Video recovered still a gap in LS
- We plan to partially recover this through the upcoming Tier 1 KOL event(7/24–25)

4 LFF OKR on track (RR 104%) with LFF ADO penetration growing MoM +4.1%p mainly driven from VN (penetration MoM 13.5% -> 24%) but even without VN, LFF OKR target still on track (RR 109%)
- MY (penetration MoM 43% -> 45.9%) growth benefited from PLT's FSV push

5 **Logistics OKR:** all show good trajectory vs. target

2a. JP H2 New Seller Inbound vs. Outbound Value Proposition and budgeting (Haenle, Hongkeun)

Before diving in, there are two key discussion points regarding JP Inbound and Outbound strategies: value proposition and budgeting

		pg #
Problem statement	Inbound underperforms Outbound in most productivity metrics(e.g. ADO/seller, CPA) other than driving new seller #	10
[Inbound Value Proposition]	Do we need Inbound? Yes because,	
Similar seller pool	No difference in seller profile between Inbound and Outbound	11
Order scalability	But Outbound sellers scale up order better later vs. Inbound due to specific seller community's supporting/customized tools	12
[Budget Justification]	If so, is the current level of paid ads spending justified?	
KR benchmark	Current JP's paid ads vs. organic traffic composition is similar to 2 yrs ago KR - similar paid ads budget $, % of total but JP slightly better budget efficiency	13
Traffic and conversion	~70% of current SHP JP website traffic is from paid ads and conversion from these paid ads traffic is increasing for P4M	14

Inbound drives high seller volume while Outbound delivers high seller productivity in all metrics; ADO/seller of Outbound is 6x(vs. Inbound) with even lower cost(~80% of acq cost vs. Inbound)

Key Highlights

[Seller Quantity] 1 For '25 H1, Inbound brought in 81% of new seller while outbound brought in 19% and within Inbound majority was from organic as proper tracking for inorganic channel has been ongoing for < 3 months

[Seller Quality] 2 For '25 H1, **Outbound ADO/seller is 1.47 which is 6x that of Inbound** while ADG seller is also 4.5x that of Inbound and also higher SKU productivity

2-1 ADO contribution 43% of new seller ADO is coming from Inbound vs. 57% from outbound which is similar to KR(KR Inbound ADO contribution 40%)

[Cost per Acq] **Outbound cost per acq is lower being ~80% that of Inbound with ROAS(e.g. ADG generated per $ spent on acq) being >5x that of Inbound**

- Outbound generates $0.31 per each $1 spent with key partnership channel having the highest ROAS of over $2

'25 H1 JP New Seller/SKU Productivity by Channel

	Seller			Seller Productivit and contribution					SKU and Channel Productivity					ROAS per seller (ADG per cost of acq)
Per Channel	[A] New Seller #	[B] ADO	[C] ADG	[B/A] ADO/seller	[C/A] ADG/seller	New Seller %	ADO %	ADG %	[D] Live SKU #	[D/A] Live SKU/seller	[F] Total cost	[F/A] Cost per seller	[F/D] Cost/live sku	
Inbound	3,828	975	37,672	2 0.25	10	1 81%	43%	48%	484,586	127	$ 681,912	$ 178	$ 1.41	$ 0.06
Inbound_organic	3,727	952	37,172	0.26	10	79%	42%	48%	473,482	127	$ 61,372	$ 16	$ 0.13	$ 0.61
Inbound_inorganic	101	23	500	0.23	5	2%	1%	1%	11,104	110	$ 620,540	$ 6,144	$ 55.88	$ 0.00
Outbound	893	1,312	40,347	1.47	45	19%	57%	52%	469,274	526	$ 129,875	$ 145	$ 0.28	$ 0.31
Outbound_partnership_ seller_community	572	1,069	34,363	1.87	60	12%	47%	44%	393,921	689	$ 16,758	$ 29	$ 0.04	$ 2.05
Outbound_partnership_ others	191	175	4,580	0.92	24	4%	8%	6%	27,871	146	$ 90,493	$ 474	$ 3.25	$ 0.05
Outbound_others	130	68	1,404	0.52	11	3%	3%	2%	47,482	365	$ 22,623	$ 174	$ 0.48	$ 0.06
Total	**4,721**	**2,288**	**78,019**	**0.48**	**17**	**100%**	**100%**	**100%**	**953,860**	**202**	**$ 811,787**	**$ 172**	**$ 0.85**	**$ 0.10**
(ref) All JP Sellers	*30,967*	*12,025*	*461,152*	*0.39*	*15*	*15%*	*19%*	*17%*	*3,922,346*	*127*	*N/A*			*N/A*

6x 2-1 3 3-1

Notes

1) New seller # is go-live seller(e.g. live SKU>5) from 241001 to20250631

2) New seller ADO is accumulated ADO on 20250631 from go-live sellers from 20241001

3) Outbound cost refers to HC cost(both FTE and BPO)

Lower ado/seller of Inbound is mainly driven by Outbound sellers' ADO scaling faster, even though both Inbound/Outbound brings in "similar" seller pool with EC background during onboarding stage

'25 H1 JP New Seller Pool and activation/productivity per background

Onboard Stage (=seller profilel)

Similar

Online selling experience (By % of seller #)	Inbound				Outbound					
	[A] Total	Corporate License	Individual License	Non License	[B] Total	Corporate License	Individual License	Non License	Total	[A-B] Gap%p
CB EC only	4%	1%	1%	2%	18%	1%	1%	17%	7%	-14%
Japan EC only	21%	9%	3%	9%	21%	9%	4%	8%	21%	0%
Japan and CB EC	5%	2%	1%	2%	5%	4%	1%	0%	5%	1%
No online selling experience	69%	5%	2%	62%	56%	6%	4%	46%	67%	13%
Grand Total	**100%**	**18%**	**7%**	**75%**	**100%**	**20%**	**9%**	**72%**	**100%**	**0%**

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Order Activation Stage

Similar

Days to 1st order(avg)	Inbound				Outbound					
	[A] Total	Corporate License	Individual License	Non License	[B] Total	Corporate License	Individual License	Non License	Total	[A-B] Gap
CB EC only	30.2	22.0	40.7	28	38.2	43.5	19.1	41.0	34.2	-8.1
Japan EC only	37.2	47.3	26.8	30	32.8	40.4	34.8	25.8	35.7	4.5
Japan and CB EC	37.5	38.5	25.2	50	37.3	39.7	24.8	45.4	37.4	0.2
No online selling experience	37.0	31.1	27.0	38	28.1	42.8	30.7	25.7	34.8	8.9
Grand Total	**36.8**	**39.3**	**28.9**	**37**	**30.8**	**41.3**	**30.4**	**27.8**	**35.0**	**6.0**

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Order Scaling stage

IB < OB

ADO/seller	Inbound				Outbound					
	[A] Total	Corporate License	Individual License	Non License	[B] Total	Corporate License	Individual License	Non License	Total	[A/B] Gap %
CB EC only	0.46	0.31	0.64	0.45	0.26	1.12	3.88	0.08	0.35	78%
Japan EC only	0.37	0.35	0.55	0.32	1.62	0.45	2.25	2.57	0.60	-77%
Japan and CB EC	0.59	1.01	0.58	0.05	3.62	4.41	0.89	0.42	1.10	-84%
No online selling experience	0.18	0.32	0.31	0.17	1.62	1.59	0.98	1.68	0.41	-89%
Grand Total	**0.25**	**0.43**	**0.50**	**0.19**	**1.47**	**1.59**	**1.75**	**1.40**	**0.48**	**-83%**

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Key Highlights

1 [Onboarding Stage] For JP, **both Inbound and Outbound targets "similar" seller pool**, meaning there is no major difference in seller EC experience as 69% Inbound have no online selling experience and 56% of Outbound also don't

- 1-1 Moreover, no meaningful difference in license type % across channel

2 [Activation Stage] Metric for activation which is **"days to 1st order" also do not show big difference between inbound and Outbound**

- Moreover Outbound only shows shorter days to 1st order for non license group(low quality seller)

3 [Scaling stage] However, **after 1st order, Outbound scales quite quickly with magnitude shows from ADO/GP of 1.47 which is ~6x tht of Inbound**

=> Continue Inbound both organic and inorganic as it drives seller volume and but address how we can increase Inbound productivity

And Outbound scalability is primarily driven by top3 seller community, which differentiate itself through self- developed tools(e.g. Pricing automation , listing suggestions) which we should leverage

Key Highlights

1 [Scalability] Scalability comes from 1) # of SKUs and 2) how productive these SKUs are, and even **within Outbound, top3 community sellers which supports sellers' productivity via customized tool enabling seller to mass upload and list the skus more efficiently with competitive prices, has exceptionally high productivity**

[Next step] apply either of below 2 approach;

- (TBC 8/14) subscription model: leveraging our partnership where seller community open their proprietary tool to all SHP sellers, in return SHP pay subscription fee/seller
  - (what is in it for the community? - addt'l revenue stream with no upfront investment such as tutor etc)
- Outsource model: SHP to develop similar level of tool via outsourcing development agency and provide to all SHP sellers

'25 H1 JP New Seller Productivity by Channel & source

		Seller Productivity					SKU Productivity	
Channel	Source	Seller #	ADO	Seller %	ADO %	ADO/seller	live sku/seller	ADO/live sku
Inbound	Inbound Total	3,828	975	81%	43%	0.25	126.59	0.002
	Inbound_organic	3,727	952	79%	42%	0.26	127.04	0.002
	Inbound_inorganic	101	23	2%	1%	0.23	109.94	0.002
Outbound	Outbound Total	893	1,312	19%	57%	1.47	525.50	0.003
	Outbound_partnership_ seller_community	572	1,069	12%	47%	1.87	688.67	0.003
	1 *--NEXT*	*80*	*145*	*2%*	*6%*	*1.81*	*1253.16*	*0.001*
	--NONSTO	*91*	*459*	*2%*	*20%*	*5.05*	*1957.69*	*0.003*
	--TAG	*271*	*428*	*6%*	*19%*	*1.58*	*355.82*	*0.004*
	Outbound_partnership_ others	191	175	4%	8%	0.92	145.92	0.006
	Outbound_others	130	68	3%	3%	0.52	365.25	0.001
Grand Total		**4,721**	**2,288**	**100%**	**100%**	**0.48**	**202.05**	**0.002**

Notes

1) Outbound partnership_seller community shown here(e.g. Next) is selected based on community generating more than >5 go-live seller #/monthly and generating higher ADO/seller vs. Outbound Total

On the budgeting front, current paid vs. organic traffic mix in JP closely resembles KR's composition from two years ago, and JP's paid ads spend is also in line with what KR spent during that period

Key Highlights

1. When we reference organic:inorganic traffic % of current JP, it is very similar to 2 years ago KR(e.g JP '25 Q2 27:73 vs KR '25 Q3 21:79)
   2. And at that time KR spent roughly $245K total out of which 88% was from inorganic paid ads($215K) while currently JP is also spending similar around $200K total out of which 91% is from organic paid ads($177k)
   - **JP cost per launch efficiency is better vs. KR 2 yrs ago(e.g. CPA $42 vs. $58)**
     - *'25 Q2, JP intentionally saved on spending from unifying KR and JP paid ads agency*

JP vs. KR Inorganic traffic % and spending %

KR Inbound	23 Q1	23 Q2	23 Q3	23 Q4	24 Q1	24 Q2	24 Q3	24 Q4	25 Q1	25 Q2	CQGR %
Inbound Traffic Total %	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	*0%*
Organic Traffic %	13%	16%	21%	22%	36%	31%	46%	50%	51%	51%	16%
Inorganic Traffic %	87%	84%	79%	78%	64%	69%	54%	50%	49%	49%	-6%
Inbound Spending Total	$208,763	$244,012	$244,076	$240,525	$244,036	$273,644	$218,695	$273,787	$187,241	$223,165	1%
--Organic Spending	$34,458	$27,108	$30,144	$23,113	$40,296	$59,076	$29,737	$85,339	$33,391	$60,061	6%
--Inorganic Spending	$177,700	$220,516	$214,689	$217,216	$199,917	$214,686	$188,948	$198,583	$154,028	$160,105	-1%
Organic Spending %	17%	11%	12%	10%	17%	22%	14%	31%	18%	27%	6%
Inorganic Spending %	85%	90%	88%	90%	82%	78%	86%	73%	82%	72%	-2%
CPL	$57	$43	$58	$54	$58	$50	$34	$51	$27	$27	-8%

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JP Inbound	25 Q1	25 Q2
Inbound Traffic Total %	100%	100%
Organic Traffic %	14%	27%
Inorganic Traffic %	86%	73%
Inbound Spending Total	$245,515	$195,395
--Organic Spending	$16,252	$18,107
--Inorganic Spending	$229,264	$177,288
Organic Spending %	7%	9%
Inorganic Spending %	93%	91%
CPL	$34	$42

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And >70% of our Shopee JP Website traffic is coming from paid ads making it a critical traffic source that we cannot afford to lose at this stage especially when its CVR has been improving for P4M

Key Highlights

1 In '25 Q2, JP website traffic reached 226k which is QoQ -46% as the team purposely cut all the "low quality traffics"

2 For JP website, still big portion of 73% of traffic is coming from inorganically driven(vs. KR 48%) -> which we will "lose" if we cut inorganic paid ads spending

3 And these leads' E2E conversion has improved by 3%p(from Mar to Jun, from the team's efficiency improvement) and the 3-1 gap vs. organic is closing(e.g. '25 May 4%p vs. 2%p)

JP Website Traffic composition from '24 Q1

Traffic	24 Q1	24 Q2	24 Q3	24 Q4	25 Q1	25 Q2	CQGR %
JP Website Traffic Total	**409,139**	**360,756**	**429,086**	**393,482**	**420,711**	**226,136**	1 **-11%**
Organic Traffic Total	61,152	53,308	63,085	61,806	59,630	60,530	0%
Inorganic Traffic Total	347,987	307,448	366,001	331,676	361,081	165,606	-14%
Organic Traffic %	*15%*	*15%*	*15%*	*16%*	*14%*	*27%*	2 12%
Inorganic Traffic %	85%	85%	85%	84%	86%	73%	-3%

JP Website Traffic's E2E conversion by funnel

JP	25 Mar	25 Apr	25 May	25 Jun	P4M avg	Jun-Mar %p
Inbound Total E2E CVR	**1%**	**5%**	**5%**	**5%**	**4%**	**4%**
---Short to Long form	22%	27%	41%	38%	32%	16%
---Long form to Registration	29%	48%	42%	42%	40%	13%
---Registration to Launch	19%	40%	28%	32%	30%	13%
Organic Total E2E CVR	2%	10%	6%	6%	6%	5%
---Short to Long form	27%	47%	48%	43%	41%	16%
---Long form to Registration	29%	50%	45%	42%	42%	13%
---Registration to Launch	20%	41%	29%	33%	31%	13%
Inorganic Total E2E CVR	0%	2%	2%	4%	2%	3% 3
---Short to Long form	9%	11%	26%	30%	19%	21%
---Long form to Registration	27%	38%	34%	41%	35%	14%
---Registration to Launch	15%	35%	21%	30%	25%	15%
Organic vs. Inorganic E2E CVR gap(%p)	**-1%**	**-8%**	**-4%**	**-2%**	3-1 **-4%**	**n/a**

2b. JP H2 Growth Drivers and EOY Target (Haenle)

By Dec, JPCB ADO aims to grow YoY +75% vs. '24 (+41% vs. '25 H1) by 3 key growth drivers: #1 new seller P1 program (+29% increment), #2 SKU assortment expansion (+16% increment), and #3 increased MS penetration (+7% increment)

Key Highlight

- In H1, JPCB ADO growth CMGR +4.55% (YoY +171% vs. '24 H1), main growth driver coming from new seller in terms of seller profile (H1 ADO CMGR +37%), and PH is the key growth market (H1 ADO CMGR +9%)
- 1 For H2, will continue this growth to reach **17K ADO by end of Dec** from main 3 growth drivers identified,
  - **New seller P1 program → +1,518 ADO (29% of increment)**
  - **SKU expansion → +840 ADO (16% of increment)**
  - **MS push program → +380 ADO (7% of increment)**
  - 2 These 3 drivers contribute a combined 2,738 ADO in H2 — 53% of JPCB ADO increment.

JPCB 2025 H2 Key Growth Drivers Overview

	Q1	Q2	2507	2508	2509	2510	2511	2512	Increment ADO	Contribution % to Increment	Contribution % to JPCB Total
[A+B+C] JPCB Total	**9,659**	**10,683**	**11,729**	**12,661**	**13,648**	**14,702**	**15,805**	1 **16,933**	**5,204**	**100%**	**100%**
[A]JPCB Baseline				*11,729*	*12,661*	*13,648*	*14,702*	*15,805*	*n/a*	*n/a*	*93%*
[B] JPCB organic growth				466	457	470	506	566	2,466	47%	3%
[C= a+b+c] JPCB Key Growth Drivers				*466*	*530*	*583*	*597*	*562*	2 2,738	53%	3%
[a] New seller P1 program		-		*228*	*289*	*339*	*350*	*312*	1,518	29%	2%
[b] SKU expansion program				*168*	*168*	*168*	*168*	*168*	840	16%	1%
[c] MS push program				*70*	*73*	*76*	*79*	*82*	380	7%	0%

Note:

1. *JPCB ADO H2 monthly are projected based on MP ADO projection H2 CMGR Dec vs. July 4.05%*
2. *'25 07 MTD data period as of 2025/7/20*
3. *All monthly projections are derived from MP ADO baseline forecasts [A] with applied program impact estimates [C].*
4. *New seller definition: gp go live date >= 2024/10/1*

[Appendix] - PH and SG combined contribute ~30% of H2 JPCB key growth driver ADO increment, reinforcing their role as core markets for JPCB performance growth

Key Highlight

1 PH and SG collectively drive 1.4K ADO out of the 2.7K ADO from JPCB key growth drivers in H2 (66% contribution to key growth driver).

- These markets lead in different growth levers. PH - strongest in new seller P1 program (+565 ADO), SG steady across SKU gap closing and MS push.
- These contributions validate the market prioritization strategy and justify deeper execution focus through H2.

JPCB 2025 H2 Key Growth Drivers Overview - by market split

	Q1	Q2	2507	2508	2509	2510	2511	2512	Increment ADO	Contribution % to Increment	Contribution % to JPCB Total
[A+B+C] JPCB Total	**9,659**	**10,683**	**11,729**	**12,661**	**13,648**	**14,702**	**15,805**	**16,933**	**5,204**	**100%**	**100%**
[A]JPCB Baseline				11,729	12,661	13,648	14,702	15,805	n/a	n/a	93%
[B] JPCB organic growth				466	457	470	506	566	2,466	47%	3%
[C] JPCB Key Growth Drivers				*466*	*530*	*583*	*597*	*562*	2,738	53%	3%
SG				148	167	182	187	175	859	17%	1%
MY				75	83	89	90	86	423	8%	1%
PH				87	107	125	130	116	565	11%	1%
TH				65	74	81	82	78	380	7%	0%
TW				56	64	69	71	68	328	6%	0%
VN				32	32	34	34	35	167	3%	0%
BR				3	3	3	3	4	16	0%	0%

1

Note:

1. *JPCB ADO H2 monthly are projected based on MP ADO projection H2 CMGR Dec vs. July 4.05%*
2. *'25 07 MTD data period as of 2025/7/20*
3. *All monthly projections are derived from MP ADO baseline forecasts [A] with applied program impact estimates [C].*

New Seller Program launching 8/1 with projected +1.5K ADO uplift in H2 (29 % contribution to JPCB ADO increment) from key partners, providing 3% commission discount program

Key Highlight

1. OB new seller projected to reach **2.2K ADO** by Dec, contributing **13% of total JPCB Dec ADO**, vs. H1 +3%pp
2. **New seller ADO program increment +1.5K ADO** in H2, driven by targeted partner seller commission discount program (+paid ads reinvestment commitment).
3. OB new seller # aim to increase **+153 sellers** vs. H1, supported by partner incentives.

JPCB OB New Seller# and ADO Target by Month

	Actual	Actual	Actual, MTD	Projection	Projection	Projection	Projection	Projection			
	Q1	Q2	2507	2508	2509	2510	2511	2512	H2 avg pene%	H1 avg pene%	H2 vs. H1 increment (%p)
JPCB Total ADO	9,659	10,683	11,729	12,661	13,648	14,702	15,805	16,933	100%	100%	n/a
OB ADO contribution% to JPCB Total	7.08%	10.12%	10.12%	11.10%	10.97%	10.69%	10.12%	13.16%	1 13%	10%	3%
OB new seller ADO	**684**	**1,081**	**1,187**	**1,405**	**1,497**	**1,572**	**1,600**	1 **2,229**	**1,582**	**883**	**699**
Baseline				1,177	1,208	1,233	1,250	1,917	n/a	n/a	n/a
+ P1 program increment				228	289	339	350	312	n/a	n/a	2 1,518
OB new seller #	253	230	68	96	114	122	123	113	n/a	n/a	3 153
Baseline				86	97	102	102	96	n/a	n/a	n/a
+ P1 program increment				10	17	20	21	17	n/a	n/a	85

Note:

1. *JPCB ADO H2 monthly are projected based on MP ADO projection H2 CMGR Dec vs. July 4.05%.*
2. *OB new seller ADO = baseline + P1 program increment ADO*
3. *New seller definition: gp go live date >= 2024/10/1*

[Appendix] PH and TH are identified as key focus market where we see good growth, accounting ~50% of the P1 program ADO uplift

Key Highlight

1 PH and TH contribute 46% ADO uplift of P1 program total ADO → strong seller activation in these 2 markets, with well awareness of seller x buyer towards "JP origin SKUs".

- In '25 H1, PH and TH total contribute 32% of the JP origin SKU demand in SHP platform, with respective +30% YoY ADO strong growth (highest demand lie in VN at 26% penetration to platform total JP origin SKU demand, YoY growth +8%).

- These markets will remain core to pipeline fueling and continued OB penetration growth in Q4 and 2026 planning.

JPCB OB New Seller# and ADO Target by Month - Market Split

	Actual	*Actual*	*Actual, MTD*	*Projection*	*Projection*	*Projection*	*Projection*	*Projection*			
	Q1	Q2	2507	2508	2509	2510	2511	2512	H2 avg pene%	H1 avg pene%	H2 vs. H1 increment (%p)
JPCB Total ADO	9,659	10,683	11,729	12,661	13,648	14,702	15,805	16,933	100%	100%	n/a
OB ADO contribution% to JPCB Total	7.08%	10.12%	10.12%	11.10%	10.97%	10.69%	10.12%	13.16%	13%	10%	3%
OB new seller ADO	**684**	**1,081**	**1,187**	**1,405**	**1,497**	**1,572**	**1,600**	**2,229**	**883**	**1,582**	**699**
+ P1 program increment				228	289	339	350	312	n/a	n/a	1,518
SG				67	85	100	103	92	n/a	n/a	448
MY				28	36	42	44	39	n/a	n/a	190
TW				25	32	37	38	34	n/a	n/a	166
TH				27	35	41	42	38	n/a	n/a	183
PH				77	98	115	119	106	n/a	n/a	514
VN				2	3	4	4	3	n/a	n/a	16
BR				0	0	0	0	0	n/a	n/a	2

1

Note:

1. *JPCB ADO H2 monthly are projected based on MP ADO projection H2 CMGR Dec vs. July 4.05%.*
2. *OB new seller ADO = baseline + P1 program increment ADO*
3. *New seller definition: gp go live date >= 2024/10/1*

In 2025, JP will focus on fast execution to tap the low hanging fruit SKU gap closing vs. PH, while unlock larger ADO uplift potential through PH in-market optimization later on

Key Highlight

1. P1 focuses on migrate **proven performance PH SKUs** to other markets and close SKU gap. **Targeting +838 ADO by Dec '25** from SKU gap closing and productivity push across SG/MY/TH/VN/BR/TW.
2. P2 target PH itself will tap the JP origin SKUs potential (local SKUs), with estimated +899 to +3.6K ADO uplift by closing SKU gap vs. local SKUs (JPCB SKU gap close 5%~20% vs. local SKUs) and pioneering new SKUs.

- [Why P1 first?] While P2 ADO impact is higher, we have greater confidence in realizing P1 impact because **PH SKUs are already performance-proven,** require **minimal sourcing effort** from JP sellers, and are expected to **generate higher ROI** when replicated across other markets.
  - To fully realize P2 impact, PH performance improvement is needed like: 1) listing new JP origin SKUs, and 2) price matching to improve conversion
  - That said, the team is also currently exploring tool-based feasibility to scale P2 efforts: 1) JP seller community listing tool "outsource", and 2) launch JPSC and SIP (already brought up to P1 for development).

JP SKU Expansion Plan 2025 ~2026

Market	Action		Priority level	ADO Impact	Timeline
					Quick Wins
SG/MY/TH/VN/BR/TW	Increase SKU count via PH SKUs	- SKU gap closing benchmarking PH - Productivity push using MS	**P1**	1 **+ 838 ADO**	**by '25 Dec**
PH	Increase SKU count via new SKUs	- JP origin SKU gap closing vs. Local - Pioneer new SKUs - Increase productivity	P2	2 + 899 ~ 3.6K ADO	2026~

Note:

1. *In '25 H1, JP origin SKUs in PH market at 41K ADO, at 6% to PH platform ADO (second high across markets, SG highest at 11%). Out of which, JPCB is contributing 3K ADO, there's a total 38K ADO potential for JPCB to tap → translate to PH JP origin SKU gap to close vs. local at 131K SKUs (Local SKU#).*
   https://docs.google.com/spreadsheets/d/1axSvWbAu4E_M-V-fl1v-6dEJEZt10muqVpituCWqUGw/edit?gid=256563198#gid=256563198
2. *JP origin SKUs in PH market, local SKU # at 131K, JPCB SKU # at 18K. Local SKU efficiency at 0.3, JPCB SKU efficiency at 0.1.*

In H2, focus "quick wins" to close 7.58% of the SKU gap across markets vs. PH, pushing 210k incremental SKU count in non-PH markets, with estimated ADO impact of +838 ADO increment (16% contribution to JPCB ADO increment)

Key Highlight

1 **210k migratable SKUs** identified out of the total 4M SKU gap from markets vs. PH benchmark. 2 Largest SKU gap closings target in VN (+21%), MY (+14%) and SG (+11%)

3 **Total +838 ADO uplift expected** (=migratable * ADO per live SKU efficiency), driving a +7.94% ADO increment vs. H1

4 Given that this is the first time running a cross-market SKU migration, there is still uncertainty on how effectively ADO will realize in the new markets. Therefore, we propose to start with using destination market ADO efficiency as a more grounded assumption. We plan to review the ADO target in September.

SKU Gap Closing Market vs. PH By Month Migration Plan

	Full Potential				Projection	Progress	Progress	Progress	Progress	Progress	To-be		
						2508	2509	2510	2511	2512			
	SKU count #	SKU count gap %	SKU count # gap	>>	Projected Successful SKU count #	SKU count gap %	SKU count gap %	SKU count gap %	SKU count gap %	SKU count gap %	H2 SKU count #	SKU count # Increment % vs. H1	SKU count gap % closed vs. H1 (%p)
PH (benchmark)	994,138	0.00%	0		0	-	-	-	-	-	994,138	0.00%	-
SG	695,427	30.05%	301,234	Successful SKU count is projected: 1) existing shops SKU gap closing, matching SKU count across shops (not considering shop gap closing → SKU count gap closing), and 2) migration barriers - current expansion %, language, ops difficulties etc.(see appendix).	78,010	28.48%	26.91%	25.34%	23.77%	22.20%	773,437	11.22%	7.85%
MY	482,051	51.51%	512,087		68,920	50.12%	48.74%	47.35%	45.96%	44.58%	550,971	14.30%	6.93%
TW	119,618	87.97%	874,520		8,462	87.80%	87.63%	87.46%	87.29%	87.12%	128,080	7.07%	0.85% 2
TH	328,807	66.93%	665,331		29,425	66.33%	65.74%	65.15%	64.56%	63.97%	358,232	8.95%	2.96%
VN	102,459	89.69%	891,679		21,979	89.25%	88.81%	88.37%	87.92%	87.48%	124,438	21.45%	2.21%
BR	40,306	95.95%	953,832		2,674	95.89%	95.84%	95.78%	95.73%	95.68%	42,980	6.63%	0.27%
Total	2,762,806	-	4,198,683	1	209,469	-	-	-	-	-	2,972,275	7.58%	-

Market ADO Increment by SKU Gap Closing vs. PH By Month

	Full Potential				Projection	Progress	Progress	Progress	Progress	Progress	To-be		
						2508	2509	2510	2511	2512			
	ADO	ADO gap%	ADO/live SKU efficiency	>>	ADO from Projected Successful SKUs	ADO gap%	ADO gap%	ADO gap%	ADO gap%	ADO gap%	H2 ADO	ADO Increment % vs. H1	ADO increment, delta
PH (benchmark)	4,580	0.00%	0.005	4	0	-	-	-	-	-	4,580	0.00%	-
SG	2,096	54.23%	0.003	Projected successful SKU # * ADO/live sku in destination market.	327	52.81%	51.38%	49.95%	48.53%	47.10%	2,423	15.59%	327
MY	1,055	76.97%	0.002		195	76.12%	75.26%	74.41%	73.56%	72.70%	1,250	18.53%	195
TW	1,251	72.68%	0.010	**** *Another option is to use ADO/live SKU efficiency in PH to project the ADO impact – this assumes PH SKUs performance can be replicated in other markets.*	107	72.21%	71.74%	71.27%	70.80%	70.34%	1,358	8.56%	107
TH	1,253	72.64%	0.004		119	72.12%	71.60%	71.08%	70.56%	70.04%	1,372	9.52%	119
VN	264	94.23%	0.003		84	93.86%	93.49%	93.13%	92.76%	92.39%	349	31.91%	84
BR	51	98.88%	0.001		5	98.86%	98.84%	98.82%	98.79%	98.77%	56	9.65%	5
Total	10,550	-	-		3 838	-	-	-	-	-	11,388	7.94%	3 838

Note:(1) Data period of As-is '25 Apr to '25 June. (2) Gap % = non-PH market / PH %. (3) Projected successful SKU count # logic refer to appendix in the next page. (4) ADO/live SKU efficiency = P3M ADO / P3M live sku #

[Appendix] - PH is the benchmark market for SKU gap closing due to efficiency, while migration SKU count targets in other markets were set considering operational constraints, performance, and shop readiness

Key Highlight

- **PH** as the benchmark market due to its strong SKU efficiency and high productivity, with highest SKU count base vs. other markets.
- For the migratable SKU count #, it's estimated based on the 1) shop readiness for SKU migration (As-is shop count gap%), 2) seller willingness to migration (As-is SKU count gap %, key factors e.g. language barriers due to no JPSC, market cost and also the performance efficiency)

Market-level Assessment of SKU Migration Feasibility

				PH	SG	MY	TW	TH	VN	BR
As-is Shop count gap%				0.00%	26.32%	43.55%	62.78%	60.45%	76.23%	92.51%
As-is SKU count gap %				0.00%	30.05%	51.51%	87.97%	66.93%	89.69%	95.95%
As-is SKU count # gap				0	301,234	512,087	874,520	665,331	891,679	953,832
	Factors		Metric							
	1) Operational	Language Barrier	English speaking	Yes	Yes	Yes	No	No	No	No
		Operational Easiness	No licenses requirement, price limit etc.	Yes	License - beauty, pet food	License - beauty, health	License HL, EL	license - beauty, health, M&B	price limit < 1mil VND, license - health, F&B	license - EL
	2) Cost	MP Fee%	platform fees (with SLS+)	17.42%	16.75%	21.01%	13.25%	16.85%	17.89%	15.75%
		Logistics cost	JPCB hidden fee (avg weight 450g)	3.64	2.47	1.81	2.81	4.22	3.73	9.43
	3) Performance	SKU Efficiency	ADO/live SKU	0.005	0.003	0.002	0.010	0.004	0.003	0.001
		Productivity	Productive SKU %	7.76%	7.06%	5.68%	4.15%	5.71%	7.00%	4.41%
		JP origin SKU demand	platform JP origin SKU ADO pene%	15%	4%	12%	15%	17%	26%	11%
SKU count gap % can close				-	7.85%	6.93%	0.85%	2.96%	2.21%	0.27%
Migratable SKU count #				-	78,010	68,920	8,462	29,425	21,979	2,674

Note:

1. *In 2) cost - logistic cost - JP hidden fee is calculated based on market level seller hidden fee rate table with JPCB avg weight at 450g.*
2. *In 3) performance - JP origin SKU demand - platform JP origin SKU ADO pene%, data period as of '25 H1 avg. Total 7 markets ADO pene% = 100%, e.g. SG pene% = JP origin SKU ADO in SG / JP origin SKU ADO platform total*

[Appendix] 210K SKUs targeted for gap closing vs. PH by Dec '25, with shop-level tracking across markets — SG, MY, and TH leading SKU gap closure progress

Key Highlight

- SKU count expected to increase from total 2.76M to 2.97M (+7.6%) by Dec, closing the **overall SKU gap by 7.58%**.
- 1 KAM team leads with **125K SKUs gap to close** (60% of total projected successful SKU count#), focused on key markets like SG, MY where migration barriers are relatively lower with higher shop readiness.
- Performance review planned for Sept to evaluate ADO realization and adjust targets accordingly.

SKU Gap Closing Market vs. PH by Month by Team SKU count target

		Full Potential				2508 (Progress)	2509 (Progress)	2510 (Progress)	2511 (Progress)	2512 (Progress)	To-be		
		SKU count #	SKU count gap %	SKU count # gap	Projected Successful SKU count #	SKU count gap %	SKU count gap %	SKU count gap %	SKU count gap %	SKU count gap %	H2 SKU count #	SKU count # Increment % vs. H1	SKU count gap % closed vs. H1 (%p)
Total		2,762,806	-	4,198,683	209,469	2,804,700	2,846,594	2,888,488	2,930,382	2,972,275	2,972,275	7.58%	-
- KAM		660,268	-	941,276	124,811	685,230	710,192	735,154	760,116	785,079	785,079	18.90%	-
	PH (benchmark)	228,792	0.00%	0	0	1 -	-	-	-	-	-	-	-
	SG	144,834	36.70%	83,958	50,735	32.26%	27.83%	23.39%	18.96%	14.52%	195,569	35.03%	22.18%
	MY	101,831	55.49%	126,961	40,385	51.96%	48.43%	44.90%	41.37%	37.84%	142,216	39.66%	17.65%
	TW	38,536	83.16%	190,256	4,290	82.78%	82.41%	82.03%	81.66%	81.28%	42,826	11.13%	1.87%
	TH	102,350	55.27%	126,442	14,519	54.00%	52.73%	51.46%	50.19%	48.92%	116,869	14.19%	6.35%
	VN	33,094	85.54%	195,698	13,139	84.39%	83.24%	82.09%	80.94%	79.79%	46,233	39.70%	5.74%
	BR	10,831	95.27%	217,961	1,744	95.11%	94.96%	94.81%	94.66%	94.50%	12,575	16.10%	0.76%
- CS		1,601,218	-	2,457,067	54,271	1,612,072	1,622,926	1,633,781	1,644,635	1,655,489	1,655,489	3.39%	-
- ICB Stage		501,320	-	800,340	30,388	507,398	513,475	519,553	525,630	531,708	531,708	6.06%	-

Note:

1. *SKU count targets are calculated based on shop level bottom up.*

[Appendix] Incremental ADO from SKU migration will be closely monitored by team, with KAM contributing 626 ADO uplift (75% of total +838 ADO) in H2

Key Highlight

1. KAM team leads the push, delivering +626 ADO (75% of total), with strongest contributions from: SG: +259 ADO and MY: +139 ADO
- ADO progress is tracked monthly based on shop-level SKU targets × market-level ADO efficiency; review planned post-September to refine efficiency assumptions.

SKU Gap Closing Market vs. PH by Month by Team ADO target

		Full Potential				*Progress*	*Progress*	*Progress*	*Progress*	*Progress*	To-be		
						2508	2509	2510	2511	2512			
		ADO	ADO gap%	ADO/live SKU efficiency	ADO from Projected Successful SKUs	ADO gap%	ADO gap%	ADO gap%	ADO gap%	ADO gap%	H2 ADO	ADO Increment % vs. H1	ADO increment, delta
Total		10,550	-	0.004	838	10,718	10,885	11,053	11,220	11,388	11,388	7.94%	838
- KAM		4,904	-	0.007	1 626	5,030	5,155	5,280	5,405	5,531	5,531	12.77%	626
	PH (benchmark)	2,386	0.00%	0.010	0	-	-	-	-	-	-	-	-
	SG	740	69.00%	0.005	1 259	66.83%	64.66%	62.49%	60.32%	58.15%	999	35.03%	259
	MY	349	85.36%	0.003	139	84.20%	83.03%	81.87%	80.71%	79.55%	488	39.66%	139
	TW	709	70.27%	0.018	79	69.61%	68.94%	68.28%	67.62%	66.96%	788	11.13%	79
	TH	510	78.64%	0.005	72	78.03%	77.43%	76.82%	76.22%	75.61%	582	14.19%	72
	VN	184	92.28%	0.006	73	91.67%	91.06%	90.44%	89.83%	89.22%	257	39.70%	73
	BR	26	98.89%	0.002	4	98.85%	98.82%	98.78%	98.75%	98.71%	31	16.10%	4
- CS		4,547	-	0.003	142	4,575	4,603	4,632	4,660	4,689	4,689	3.12%	142
- ICB Stage		1,099	-	0.002	70	1,113	1,127	1,141	1,155	1,169	1,169	6.37%	70

Note:

1. *ADO targets are calculated based on shop level bottom up SKU count target, multiply by ADO/live sku efficiency*

MS push focus on Shopee ads/AMS (low hanging fruit) due to seller profile/stage, leveraging internal paid ads budget, with estimated ADO impact of +380 ADO increment (7% contribution to JPCB ADO increment)

Key Highlight

- LS/Video reactive but pushing hard on shopee ads and AMS → current stage of seller maturity and seller profile
- 1 MS push (Shopee Ads + AMS) contribute **+380 ADO in H2,** driven by both **feature adoption push and paid ads spending uplift**.
  - 2 AMS-related ADO to grow +60.5% vs. H1, by closing the adoption gap across market on seller level (benchmark highest adoption market)
  - 3 Paid Ads ADO to grow +25% vs. H1, by closing both adoption gap as well as spending difference gap on seller level.
- Phased push approach: monitor adoption closely, with next stage to benchmark top-performing local reseller group in market.

JPCB AMS & Paid Ads Adoption/Spending Push Target by month

		Actual	*Actual*	*Actual, MTD*	*Projection*	*Projection*	*Projection*	*Projection*	*Projection*	
		Q1	Q2	2507	2508	2509	2510	2511	2512	H2 vs. H1
JPCB Total ADO		9,659	10,683	11,729	12,661	13,648	14,702	15,805	16,933	40.07%
MS Contribution to JPCB Total		*10.60%*	*11.51%*	*11.49%*	*11.63%*	*11.23%*	*10.86%*	*10.51%*	*10.20%*	-0.60%
New MS Targets	**(a+b) AMS + Paid Ads ADO**	**1,024**	**1,229**	**1,348**	**1,473**	**1,533**	**1,596**	**1,661**	**1,728**	**38.15%**
	% to JPCB ADO	10.60%	11.51%	11.49%	11.63%	11.23%	10.86%	10.51%	10.20%	-1%
	- (a) AMS	365	473	582	637	663	690	718	747	2 60.53%
	- (b) Paid Ads	659	756	766	836	870	906	943	981	3 24.89%
from Push Program	**Cumulative ADO Increment**				**70**	**143**	**219**	**298**	1 **380**	n/a
	ADO Increment by month				70	73	76	79	82	n/a
	- from AMS adoption				31	32	33	34	35	n/a
	- from Paid Ads adoption + spending				39	41	43	45	47	n/a

Note:

1. *New MS targets = baseline (based on MP ADO H2 CMGR) + push program increment*
2. *Push program cumulative ADO increment = sum of monthly ADO increment*
3. *AMS ADO increment from AMS adoption increase, Paid Ads ADO increment from Paid Ads adoption and spending increase*

[Appendix] - incremental +380 ADO uplift from MS is calculated by closing AMS adoption/Paid ads adoption and spending gaps across JP markets using benchmark-based targeting

Key Highlight

- Benchmark adoption levels were set based on **top-performing (highest adoption, highest spending per shop) markets** by team and applied across markets.
  - the calculated shortfall of adopted shop # between current adoption and the benchmark: **shop gap AMS at 747 shops** and **Paid Ads 578 shops** → to push for adoption.
- 1 ADO impact by new adopters would bring total +380 ADO by Dec (165 ADO by AMS adoption and 215 ADO by Paid ads adoption and spending)

MS push program incremental '25 H2 vs. '25 H1

	AMS			Paid Ads		
	Program Increment	'25 Aug ~ Dec (after)	'25 Jan ~ July (before)	Program Increment	'25 Aug ~ Dec (after)	'25 Jan ~ July (before)
adopted shop #	747	1,786	1,039	578	1,816	1,238
adoption rate % (adopted / live shop)	6.82%	16.31%	9.49%	5.28%	16.59%	11.31%
1 ADO from MS push	165	638	473	215	971	756

Step-by-step AMS Adoption Target Setting Logic (KAM example)

market	gp smt	live shop # [A]	adopted shop # [B]	adoption rate% [B/A]	benchmark market rate% [C]	target adopted shop # [A*C]	P3M AMS ADO [D]	AMS ADO per adopted shop [E=D/B]	Expected new adopted shop # [F=A*C-B]	Expected ADO increment from new adopted shop # [E*F]
Total	-	10949	1039	9%	-	1,786	**473**	0.46	**747**	**165**
SG	KAM	120	79	66%	66%	79	27	0.34	0	0
MY	KAM	96	55	57%	66%	64	15	0.27	9	3
TW	KAM	97	20	21%	66%	64	11	0.55	44	24
TH	KAM	76	38	50%	66%	51	71	1.87	13	24
PH	KAM	117	71	61%	66%	78	180	2.54	7	18
VN	KAM	54	15	28%	66%	36	21	1.43	21	30
BR	KAM	24	5	21%	66%	16	0	0.03	11	0

^ JP-KAM in SG has the highest adoption rate at 66% → other markets benchmark = 66%.

[Appendix 2] incremental +215 ADO uplift from Paid Ads is calculated by closing adoption and existing users/shops closing spending gaps using benchmark-based targeting across JP markets

Key Highlight

- Paid Ads benchmark adoption and spending per shop are derived from top-performing markets (e.g. **KAM target adoption rate benchmark PH = 47%, existing user take rate% benchmark SG = 4.5%**).
- **578 shops identified for adoption opportunity → translate to 1.9K USD daily spending increment.** Based on CPO and projections, the expected ADO uplift from:
  - New shop adoption = +168 ADO
  - Spending gap closure from existing shops = +47 ADO
  - → **Total ADO impact from Paid Ads = +215 ADO**

Step-by-step Paid ads Adoption Target Setting Logic (KAM example)

market	gp smt	live shop #	adopted shop #	adoption rate%	benchmark market rate%	target adopted shop #	daily spending per shop	Expected new adopted shop #	Expected daily spending increment from new adopted shop #	P3M ads direct ADO	P3M daily spending	CPO	Expected ADO increment from new adopted shop #
		[A]	[B]	[B/A]	[C]	[D=A*C]	[E]	[F=D-B]	[G=E*F]	[H]	[I]	[J=I/H]	[G/J]
Total	-	10949	1238	11%	-	1,816	4.51	**578**	1,752	756	5,580	7.38	**175**
SG	KAM	120	48	40%	47%	57	17.98	9	162	80	863	10.81	15
MY	KAM	96	37	39%	47%	46	6.68	9	60	41	247	5.97	10
TW	KAM	97	43	44%	47%	46	22.32	3	67	86	960	11.22	6
TH	KAM	76	26	34%	47%	36	11.93	10	119	52	310	5.94	20
PH	KAM	117	55	47%	47%	55	8.17	0	0	217	450	2.08	0
VN	KAM	54	10	19%	47%	26	1.75	16	28	14	18	1.21	23
BR	KAM	24	7	29%	47%	12	1.83	5	9	4	13	3.40	3

Step-by-step Paid ads Spending Target Setting Logic (KAM example)

market	gp smt	P3M daily spending	adopted shop #	daily spending per shop	ADG per shop	take rate%	benchmark market rate%	Expected daily spending with benchmark	Expected daily spending increment	P3M ads direct ADO	CPO	Expected ADO increment from new adopted shop #
		[A]	[B]	[C=A/B]	[D]	[E=C/D]	[F]	[G=F*D]	[H=G-A]	[I]	[J=A/I]	[G/J]
Total	-	5,580	1,238	-	194	-	-	318	201	756	7.38	**38**
SG	KAM	863	48	17.98	399	4.50%	4.50%	17.98	0	80	10.81	0
MY	KAM	247	37	6.68	188	3.54%	4.50%	8.48	2	41	5.97	0
TW	KAM	960	43	22.32	1,435	1.56%	4.50%	64.61	42	86	11.22	4
TH	KAM	310	26	11.93	408	2.92%	4.50%	18.38	6	52	5.94	1
PH	KAM	450	55	8.17	565	1.45%	4.50%	25.44	17	217	2.08	8
VN	KAM	18	10	1.75	167	1.05%	4.50%	7.54	6	14	1.21	5
BR	KAM	13	7	1.83	83	2.20%	4.50%	3.75	2	4	3.40	1

[Appendix] - incremental ADO will be closely monitored on shop level by team

MS push program ADO target by team		*Actual*	*Actual*	*Actual, MTD*	*Target*	*Target*	*Target*	*Target*	*Target*	
		Q1	Q2	2507	2508	2509	2510	2511	2512	H2 vs. H1
	AMS + Paid ads ADO	1,024	1,229	1,348	1,473	1,533	1,596	1,661	1,728	38.15%
AMS ADO	sub total	365	473	582	637	663	690	718	747	60.53%
	- KAM	287	326	338	424	441	460	479	498	43.48%
	- CS	61	97	148	139	144	150	155	161	89.59%
	- ICB stage	17	51	96	75	78	81	84	87	147.58%
Paid Ads ADO	sub total	659	756	766	836	870	906	943	981	24.89%
	- KAM	377	494	504	520	542	564	587	611	27.44%
	- CS	212	185	176	224	234	244	254	264	17.29%
	- ICB stage	71	77	85	91	95	98	102	106	30.29%

Note:

1. *ADO targets by team are set by based on gap (adoption/spending) closing across market on seller level.*

2c. KR H2 New Seller Onboarding Conversion & Partnership Program (Jeha)

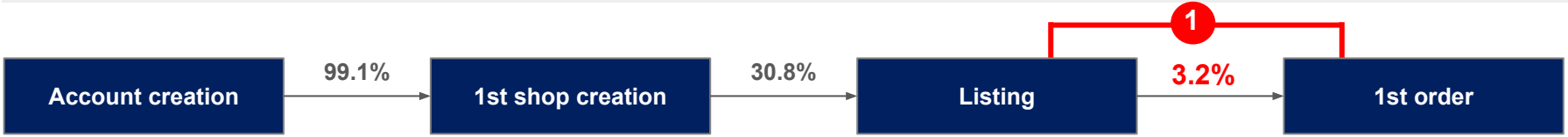
[Bottleneck ①] 'Listing to 1st order' is the biggest drop-off in the onboarding journey, with just 3.2% conversion and 46.4 days lead time, ultimately reducing sustained seller activity

Key highlights

1. New sellers follow 4 steps onboarding journey as (1) account creation → (2) 1st shop creation → (3) listing → (4) 1st order and **only 3.2% successfully generate a first order within a month**
2. **The longest lead time (46.4 days)** also occurs between the listing and 1st order, indicating a clear opportunity to shorten this phase by incentivizing sellers to achieve their first order faster

Root Causes

- **Insufficient shop readiness:** Incompleting essential setup steps, including settlement details (e.g. currency, commission rate), shop decoration and SKU assortment, resulting in low readiness for actual sales
- **Low promotion activation:** sales driving promotions such as keyword ads, bundle, 1+1 and GWP are effective in generating orders (e.g. 168.7% of ADO growth after keyword ads, refer to '*Appendix 1*') however, only below 10% of listed shops are promotion-enabled



Onboarding process	Avg. of Lead time (days) ***	Within 7 days		Within 14 days		Within 30 days**	
		Converted # of sellers	Converted rate (%)	Converted # of sellers	Converted rate (%)	Converted # of sellers	Converted rate (%)
Account creation > 1st shop creation	1.3 days	10,533	96.2%	10,727	97.9%	10,851	99.1%
1st shop creation > Listing	15.1 days	1,908	17.4%	2,671	24.4%	3,370	30.7%
Listing > 1st order 2	46.4 days	71	0.6%	177	1.6%	360	3.2% 1

** Data is based on sellers who completed submitting 'Account Registration' form during 1 Jan -30 Jun 2025, counted converted # and % from total SG market new sellers 10,953*
*** Within 7/14/30 days refers to the number of days taken from the previous step to the current step in each stage of the onboarding funnel*
**** Avg. of Lead time(days) is the average lead time for total new sellers (10,938) in the steps of onboarding process*

[Proposed Initiative] Offering 'Extra 30 Days 0% Commission' if seller achieves the mission of 1st order after listing is expected to (1) improve conversion 3.2% → 9.5% and (2) target incremental 548 ADO

Onboarding Status	Initiatives (proposed)	Conversion %		Lead Time (Days)		Forecast (Monthly)			
		As-is	To-be	As-is	To-be	Forgone Revenue (USD) **	# of Listing	Incremental ADO	Incremental New Seller (1st order)
Account creation → 1st shop creation	-	99.1%	-	1.3	-	-	-	-	-
1st shop creation → Listing	90 days 0% commission after listing (currently, after shop creation)	30.7%	93.5%	15.1	-	-	2,769	-	-
1 Listing → 1st order	**Extra 30 days 0% commission *after 1st order generation**	**3.2%**	**9.5%**	**46.4**	**33.6**	**22,310**	**N/A**	**548**	**88**

Pls see next page for details

** Data is based on sellers who completed listing from during 1 Jan -31 Mar 2025 and calculated based on the 1st order generation from 1 Jan - 30 Jun*
*** Forgone revenue is the revenue sacrificed to run a promotion, typically in the form of waived commissions or discounts*

1 **'Extra 30 Days 0% Commission' Program T&C:**

- Extending 0% commission rate for all market during **30 days from the seller's 1st order date** if it occurs within 30 days after listing completion
- (+) (a) Increase conversion rate 6.3%p (b) Earn 548 ADO (c) Additional paid ads investment
- (-) (a) $22,310 USD Forgone revenue

Under Considerations:

- To improve 1st shop creation -> listing conversion rate and # of listing skus, we take into consideration to shift existing 0% commission program's start point from the 'date of shop creation' to the **'date of listing'**, but feasibility check is required in terms of system logic and cost

[Impact] This initiative drove 88 first-order sellers, 548 incremental ADO, and $2.5K revenue uplift, with a limited trade-off in profitability (-0.09% in PC2%)

Key Business Impacts:

- Implementing an Extra 30 Days 0% Commission' initiative for H2 '25 (Sep~Dec) is projected to deliver clear business impact:
  1. **+88 new first-order sellers with +548 incremental ADO**
  2. **Revenue slightly increased; lower PC2$ reflects strategic investment in seller growth with expected long-term upside**
- The initiative effectively boosts early-stage seller activation. in addition, we assume that **~$13.6K paid ads investment** may be leveraged to drive 1st-order conversions (not reflected in table below)

				without program (monthly. for sales actual Jan-Mar & for pnl Sep-Dec simulation)	Extra 30 days 0% commission (monthly if program start Sep-Dec)	Increment (monthly if program start Sep-Dec)
Initiatives for seller onboarding	Sales	Program seller *	1st order generating new seller #	196	284	88
			1st order generating new sellers' ADO	972	1,520	548
			1st order generating new sellers' ADGMV	23,906	28,758	4,852
		KR Total	KR seller #	83,027	83,311	284
			KR seller ADO	54,344	56,065	1,721
			KR seller ADGMV	1,077,016	1,105,774	28,758
	PnL	KR Total **	Revenue	$8,438,526	$8,441,005	$2,478
			PC2$	$1,535,743	$1,512,731	-$23,012
			PC2%	4.26%	4.18%	-0.09%
			Take rate%	23.49%	23.36%	-0.13%

** Program seller is sellers who completed listing from during 1 Jan -31 Mar and made 1st order in 1 Jan -30 Jun and KR Total is KRCB total sellers performance data*

****KR Total for PnL indicates the program's effect by comparing periods with (Sep–Dec) and without implementation*

(Appendix 1) Promotional tool usage is still under 10% on average across all types, limiting sales activation potential (Sample : KR New sellers Jan~Mar)

Keywords Ads

Region	Total Shops	# of Non-Ads	# of Ads	Usage (%)	Expected Cost (USD)	Shop ADO Growth	Ads amt Growth
BR	20	19	1	5.1%	20	57.3%	1292.7%
MX	9	9	0	0.0%	0	331.1%	734.0%
MY	39	36	3	7.6%	60	169.7%	8174.8%
PH	36	32	4	11.1%	80	138.9%	13071.3%
SG	71	58	13	18.4%	260	336.7%	14945.7%
TH	35	32	3	8.7%	60	180.1%	12109.4%
TW	51	45	5	9.9%	100	353.0%	3880.4%
VN	37	35	3	8.1%	60	65.2%	3364.2%
Sum	**297**	**265**	**32**	**10.8%**	**640**	**168.7%**	**8713.6%**

Bundle Deal

Listing sellers from 1 Jan – 31 Mar 2025 and setup the promotion between 1 Jan – 30 Jun 2025

Region	Total Shops	# of Non-Ads	# of Ads	Usage (%)	Expected Cost (USD)	Shop ADO Growth	Bundle item # Growth
BR	20	18	2	8.5%	40	-56.8%	0.0%
MX	9	8	1	7.5%	20		0.0%
MY	39	30	9	23.7%	180	-2.1%	17.3%
PH	36	28	9	23.6%	180	30.8%	25.5%
SG	71	50	21	29.3%	420	1.6%	19.9%
TH	35	28	6	18.3%	120	32.2%	18.5%
TW	51	40	11	20.8%	220	33.5%	41.0%
VN	37	32	5	13.5%	100	-9.2%	4.2%
Sum	**297**	**234**	**63**	**21.1%**	**1,280**	**15.5%**	**25.1%**

Buy1 Get1

Region	Total Shops	# of Non-Ads Shops	# of Ads Shops	Usage (%)	Expected Cost (USD)	Shop ADO Growth	Buy1Get1 item # Growth
BR	20	20	0	0.0%	0	27.0%	67.5%
MX	9	9	0	0.0%	0	-8.6%	0.0%
MY	39	39	0	0.8%	0	540.2%	43.0%
PH	36	36	0	0.9%	0	40.4%	8.4%
SG	71	69	2	2.1%	40	161.3%	56.4%
TH	35	35	0	0.0%	0	34.5%	172.3%
TW	51	50	1	1.7%	20	139.1%	84.0%
VN	37	37	0	0.9%	0	-3.9%	114.6%
Sum	**297**	**293**	**3**	**1.1%**	**60**	**64.5%**	**62.8%**

Free Gift

Region	Total Shops	# of Non-Ads Shops	# of Ads Shops	Usage (%)	Expected Cost (USD)	Shop ADO Growth	Free gift item # Growth
BR	20	19	1	5.1%	20	35.9%	35.6%
MX	9	9	0	1.9%	0	134.6%	0.0%
MY	39	37	2	5.9%	40	204.0%	83.9%
PH	36	34	2	4.6%	40	119.8%	109.6%
SG	71	65	6	8.5%	120	231.2%	59.4%
TH	35	33	1	3.8%	20	140.2%	154.7%
TW	51	48	3	5.3%	60	126.0%	58.6%
VN	37	35	3	6.7%	60	218.7%	62.7%
Sum	**297**	**279**	**18**	**6.0%**	**360**	**128.7%**	**43.8%**

[Bottleneck ②] Partner leveraged acquisition remains underutilized, shows a strategic opportunity for H2 new seller growth through partnership program redesign

Key Highlights

1. **Outbound ADO per seller is 1.27,** higher than both Inbound and KRCB, and contributed 18.4% of total In/outbound ADO with only 8% of seller, presenting it as a highly efficient yet underleveraged channel with room for scalable impact
2. **However, it shows a significant YoY decline with -42.4% in sellers and -32.7% in ADO compared to 2024 H1,** this was driven by
   - Resource gap from Y-1, as only 1 FTE out of 4 FTEs last year was backfilled in 2025
   - Shifted in focus to individual NSP(New Seller Program) pitching, which deprioritized mass outreach and weakened partner engagement
   - A lack of structured partnership program, with no dedicated on/offline events conducted during H1 '25

'25 vs '24 H1 Partnership Performance (Monthly)

Channels	Total # of Partners	'25 H1 Sellers	'25 H1 ADO	Weight of ADO	ADO per Seller	'24 H1 Sellers	Seller YoY ▽ %	'24 H1 ADO	ADO YoY ▽ %
Outbound **	49	332	423	18.4%	1.27	576	-42.4%	629	-32.7%
MKT+OPS	14	67	192	8.3%	2.86	96	-30.2%	131	46.3%
Education	9	127	53	2.3%	0.42	312	-59.3%	476	-88.8%
Government	8	95	48	2.1%	0.51	78	21.8%	20	140.1%
ERP	15	26	22	0.9%	0.83	90	-71.1%	2	0%
Logistics	1	1	0	0.0%	0.00	0	0.0%	0	0%
Payment	1	3	0	0.0%	0.00	0	0.0%	0	0%
Others	2	13	108	4.7%	0.00	0	0.0%	0	0%
Inbound ***	0	3,802	1,875	81.6%	0.49	1,808	110.3%	772	142.9%
Total	50	4,134	2,298	100.0%	0.56	2,384	73.4%	1,401	64.0%
KRCB Total		87,667	61,441		0.70	67,842	29.2%	56,904	8.0%

** Data is based on sellers who completed listing during 1 Jan -30 Jun 2024 and compared 1 Jan - 30 Jun 2025, # of sellers is accumulated for Jan-Jun, ADO is 2024 & 2025 Jun MTD*

[Key Initiative] Redesigning the partnership program based on the tier to maximize new seller growth and ADO performance

As-is

Tier	Criteria
ERP Partner	KRSC Integration and SHP Register URL in ERP website
Non-ERP Partner	New Sellers >=15 *- ADO 3~10 (count as new seller 8)* *- ADO 0~2 (count as new seller 3)*

[Biz Impact]

- Non-ERP partners lack qualification criteria and engagement structure
- Lack of tiering or incentives makes it difficult to drive or differentiate engagement with partners

[Implication]

- Increase # of Non ERP partners and MTD ADO

To-be

Tier	Criteria
Platinum	MTD ADO >= 50 or New Sellers >=30
Gold	MTD ADO >=20 or New Sellers >=15
Silver	MTD ADO > =10 or New Sellers >=5~14
Register	N/A, New registered

[Biz Impact]

- Expand engagement beyond ERP such as community partners by activating a broader partner base
- Enable performance-driven partner management through a tiered structure and strengthen partner motivation by linking clear benefits based on the seller/ADO performance

[Implication]

- Increase # of high-performing partners contributing to new sellers and MTD ADO

(Appendix 2) Tiered partner program offers benefits across (1) PR/branding, (2) Operational support and (3) Sales Support leveraging tiers to drive deeper engagement

Tier	Eligibility Criteria (Any one of the following per quarter)	Partnerships Benefits			Retention Criteria / Review Frequency
		PR / Branding Benefits	Operational Support	Sales Support	
Platinum	**((1) mtd ADO ≥ 50** **or** **(2) ≥ 30 sellers per quarter**	**- Featured on Shopee Korea's official SNS as top partner seller** **- Logo placed at the top of official partner section on website** - PR support for top-performing partners	**- 1:1 channel support with BD manager** **- Strategic program consultation *** - Priority onboarding for referred sellers - Quarterly seller FAQ webinar - Quarterly onboarding & NSP program webinar - Early access to updated Shopee training materials - Wishlist brand sharing	**- Marketing support (varies by brand & tool)** **- Priority access to Shopee-led campaigns** **- Early access to new platform features** - Priority invitation to campaigns/events - Biannual sales boosting webinar - Shopee speaker support at partner offline events	- Quarterly performance review * >= ADO 30 ** >= ADO 50
Gold	**((1) mtd ADO ≥ 20** **or** **(2) ≥ 15 sellers per quarter**	**- Logo exposure on official Shopee partner section of website**	**- Priority onboarding for referred sellers** - Quarterly seller FAQ webinar - Quarterly onboarding & NSP program webinar - Early access to updated Shopee training materials - Wishlist brand sharing	**- Priority invitation to Shopee campaigns/events** **- Biannual sales boosting webinar** - Shopee speaker support at partner offline events	- Quarterly performance review
Silver	**(1) mtd ADO ≥ 10** **or** **(2) 5–14 sellers per quarter**	**- Logo exposure as general partner on Shopee website**	**- Quarterly seller FAQ webinar** - Quarterly onboarding & NSP program webinar - Early access to updated Shopee training materials - Wishlist brand sharing	**- Shopee speaker support at partner offline events**	- Quarterly performance review
Registered	**No sales record or newly signed up**		- One-time onboarding & NSP webinar - Sharing of Shopee training materials - Partnership support		- Auto-removal if no performance in a quarter - Eligible for tier upgrade upon achievement

** Partners are initially monitored for 3 months after application, and the tier is assigned based on performance. The assigned tier is then reviewed on a quarterly basis to determine whether it will be maintained.*

*** Partners are eligible for a given tier if they meet at least one of the specified criteria.*

‘25 H2 LFF Target Proposal

[‘25 H2 LFF Target Proposal] Dec LFF% target increased to 38% (+5%p) vs previous bottom up projection, driven by higher projected new FBS SKU CVR% from FBS markets’ new sellers’ free trial programs

Version 1: Bottom up Projection (Jun 13 Bi-weekly Scenario 2)

		Actuals >>>							*Target >>>*				1	
2025		JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	'25 FY
TOTAL		25%	24%	26%	27%	29%	27%	32%	26%	28%	28%	29%	33%	28%
MY	LFF	37%	38%	38%	38%	41%	43%	46%	39%	40%	41%	38%	38%	40%
	--SBS	36%	38%	37%	37%	40%	43%	45%	39%	40%	41%	38%	38%	39%
	--3PF	0.86%	1%	1%	1%	1%	1%	1%	0%	0%	0%	0%	0%	0%
PH	LFF	27%	28%	26%	27%	25%	27%	28%	27%	27%	27%	27%	32%	27%
	--SBS	27%	28%	26%	27%	25%	27%	25%	27%	27%	27%	27%	32%	27%
	--3PF	0.00%	0%	0%	0%	0%	0%	3%	0%	0%	0%	0%	0%	0%
SG	SBS	26%	25%	27%	28%	30%	31%	31%	22%	24%	26%	26%	29%	27%
TH	LFF	29%	28%	29%	36%	35%	33%	35%	32%	32%	32%	32%	33%	32%
	--SBS	24%	23%	26%	32%	31%	28%	32%	28%	28%	28%	28%	28%	28%
	--3PF	4.70%	5%	4%	5%	4%	5%	3%	4%	4%	4%	4%	5%	4%
VN	3PF	15%	14%	17%	16%	20%	13%	25%	22%	25%	25%	29%	34%	21%

Background and Context

1 Previously, we proposed a Dec LFF% target of 33% in KRJP Jun 13 Bi-Weekly Update *(Version 1 Table)*

2 Latest proposal *(Version 2 Table)*, raises Dec LFF% target to 38% (+5%p) and FY LFF% target from 28% → 31%, 3 (+3%p), factoring in new FBS seller free trial initiative until Dec ’25 (SG/MY/PH confirmed, TH - pending confirmation) and the remaining new to FBS seller opportunities at market level

Version 2: Newly Proposed Target

		Actuals >>>							*Newly Proposed Target >>>*				2	
2025		JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	'25 FY
TOTAL		25%	24%	26%	27%	29%	27%	32%	32%	34%	37%	38%	38%	31%
MY	LFF	37%	38%	38%	38%	41%	43%	46%	46%	46%	47%	47%	48%	43%
	--SBS	36%	38%	37%	37%	40%	43%	45%	45%	45%	46%	46%	46%	42%
	--3PF	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
PH	LFF	27%	28%	26%	27%	25%	27%	28%	29%	30%	30%	30%	30%	28%
	--SBS	27%	28%	26%	27%	25%	27%	25%	29%	29%	29%	30%	30%	28%
	--3PF	0%	0%	0%	0%	0%	0%	3%	0%	0%	0%	0%	0%	0%
SG	SBS	26%	25%	27%	28%	30%	31%	31%	33%	35%	35%	36%	38%	31%
TH	LFF	29%	28%	29%	36%	35%	33%	35%	38%	39%	39%	39%	39%	35%
	--SBS	24%	23%	26%	32%	31%	28%	32%	33%	33%	33%	34%	33%	30%
	--3PF	5%	5%	4%	5%	4%	5%	3%	5%	5%	5%	5%	5%	5%
VN	3PF	15%	14%	17%	16%	20%	13%	25%	25%	28%	37%	41%	38%	24%

%p Gap Between Version 1 and Version 2				3	
AUG	SEP	OCT	NOV	DEC	'25 FY
▲6.0%	▲6.5%	▲8.4%	▲9.3%	▲5.0%	▲2.9%
▲6.7%	▲6.0%	▲5.2%	▲8.9%	▲9.4%	▲3.0%
▲5.8%	▲5.1%	▲4.3%	▲8.0%	▲8.4%	▲2.6%
▲0.9%	▲0.9%	▲0.9%	▲0.9%	▲1.0%	▲0.4%
▲2.3%	▲2.4%	▲2.5%	▲2.7%	▼2.3%	▲0.6%
▲2.1%	▲2.2%	▲2.3%	▲2.5%	▼2.5%	▲0.5%
▲0.2%	▲0.2%	▲0.2%	▲0.2%	▲0.2%	▲0.1%
▲10.9%	▲11.1%	▲8.8%	▲10.3%	▲8.6%	▲4.1%
▲6.1%	▲6.5%	▲6.7%	▲7.1%	▲5.8%	▲2.7%
▲4.6%	▲5.0%	▲5.2%	▲5.4%	▲5.0%	▲2.1%
▲1.5%	▲1.5%	▲1.5%	▲1.7%	▲0.8%	▲0.6%
▲2.7%	▲2.9%	▲11.8%	▲12.5%	▲4.1%	▲2.8%

[Backup] As of Jun, remaining FBS opportunity stands at 15.6k ADO - 57% from new to FBS sellers and 43% from FBS sellers' SLS SKUs, thus will push both levers in parallel

[Local Team Support Needed]

- While 57% of the remaining ADO opportunity comes from SLS sellers, 1 MY (27%) and 2 TH (33%) have lower contributions from SLS sellers (ADO ~300), thus expect less shops and ADO to benefit from 'FBS free trial' incentive, thus support from local teams is needed to drive growth of both existing FBS sellers' SLS SKUs and already-inbounded SKUs

Remaining FBS Opportunity (Managed Brand Sellers)

SLS Seller	ADO_30	ADO% to Remaining FBS Opportunity in Market	# Shops	%Shops	# SKU Models	%SKU Models
Subtotal	**8,856**	**57%**	**97**	**46%**	**2,728**	**50%**
MY	339	1 27%	17	8%	389	7%
PH	729	42%	17	8%	834	15%
SG	1,625	57%	27	13%	561	10%
TH	363	2 33%	7	3%	72	1%
VN	5,799	67%	29	14%	872	16%
FBS Seller	**ADO_30**	**ADO% to Market**	**# Shops**	**%Shops**	**# SKU Models**	**%SKU Models**
Subtotal	**6,729**	**43%**	**113**	**54%**	**2,698**	50%
MY	902	73%	28	13%	570	11%
PH	1,011	58%	21	10%	664	12%
SG	1,210	43%	39	19%	772	14%
TH	740	67%	15	7%	480	9%
VN	2,867	33%	10	5%	212	4%
Total (All)	**15,585**	**100%**	**210**	**100%**	**5,426**	**100%**

‘25 H2 PH Air Consol Initiative

We target 2.3% ADO Uplift to PH topline from 1.4x SKU Conversion via Air Consol, Enabled by 50% faster Lead Time vs. Sea Consol, with -0.9% Impact to KR UE (SHP Direct Cost 79.5k USD Total)

Context

- We expect a 1 +2.3% uplift in PH topline ADO (83 incremental ADO), driven by a 1.4x increase in SKU conversion through air consol, enabled by 50% faster lead time from RM FBS SKU pitch to FBS WH inbound (vs. sea consol), which improves seller responsiveness to RM's new FBS SKU pitch
- From this, we estimate SHP direct cost of 79.6k USD (next slide), resulting in 2 -0.9% in KR UE, while laying the foundation for new FBS sellers' lasting and scalable FBS inbound

(Absolute)

	TO-BE	actual	actual	actual	actual	actual	actual	projection	projection	projection	projection	projection	projection		
	Metrics	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY Avg	Aug~Dec Avg
ADO	KR PH LFF	2,244	2,306	2,195	2,014	2,284	2,762	2,791	2,914	3,157	3,152	3,867	4,190	2,823	3,456
	KR LFF	10,475	11,226	12,527	11,895	13,470	14,303	16,022	16,877	17,752	19,632	22,694	23,148	15,835	20,021
	KR SLS + LFF	41,664	45,920	47,935	43,591	47,032	52,625	47,840	53,171	58,759	57,744	66,239	65,468	52,332	60,276
	KR SLS + LFF Incremental	-	-	-	-	-	-	-	17	53	82	114	148	83	83
ADG	KR PH LFF	26,419	26,593	24,020	22,085	25,083	28,325	29,585	30,890	33,461	33,413	40,989	44,413	30,440	36,633
	KR LFF	147,524	168,505	152,198	165,532	185,506	189,427	227,399	234,321	245,637	269,934	310,439	316,703	217,761	275,407
	KR SLS + LFF	702,547	787,816	819,751	759,288	816,067	893,859	815,769	901,862	979,056	966,600	1,097,845	1,089,073	885,794	1,006,887
PC2 + SLS PnL	KR PH LFF	59,733	49,141	72,910	70,841	49,000	-39,359	90,284	95,315	93,364	90,762	104,778	113,343	70,843	99,512
	KR LFF	269,740	345,394	300,241	316,204	331,383	180,829	451,872	497,101	557,221	603,204	718,334	725,292	441,401	620,230
	KR SLS + LFF	1,712,193	1,787,166	1,755,255	1,950,679	2,113,027	1,675,270	2,715,648	2,453,916	2,549,332	2,627,437	2,979,710	3,097,152	2,284,732	2,741,509
UE	KR PH LFF	0.85	0.78	1.12	1.17	0.65	-0.56	1.09	1.05	0.97	0.91	0.88	0.84	0.81	0.93
	KR LFF	0.74	1.00	0.75	0.81	0.74	0.34	0.88	0.90	0.92	0.90	0.93	0.93	0.82	0.92
	KR SLS + LFF	0.86	0.96	0.79	0.98	1.08	0.74	0.94	0.85	0.84	0.86	0.91	0.92	0.89	0.88

(% Change)

	TO-BE	actual	actual	actual	actual	actual	actual	projection	projection	projection	projection	projection	projection		
	Metrics	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY Avg	Aug~Dec Avg
ADO	KR PH LFF	-	-	-	-	-	-	-	0.6%	1.7%	2.7%	3.0%	3.7%	2.3%	1 2.3%
	KR LFF	-	-	-	-	-	-	-	0.1%	0.3%	0.4%	0.5%	0.6%	0.4%	0.4%
	KR SLS + LFF	-	-	-	-	-	-	-	0.1%	0.1%	0.2%	0.2%	0.2%	0.1%	0.1%
ADG	KR PH LFF	-	-	-	-	-	-	-	0.6%	1.7%	2.7%	3.0%	3.7%	2.3%	2.3%
	KR LFF	-	-	-	-	-	-	-	0.1%	0.2%	0.3%	0.4%	0.5%	0.3%	0.3%
	KR SLS + LFF	-	-	-	-	-	-	-	0.03%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%
PC2 + SLS PnL	KR PH LFF	-	-	-	-	-	-	-	-2.8%	-8.3%	-12.6%	-14.9%	-17.2%	-11.2%	-11.2%
	KR LFF	-	-	-	-	-	-	-	-4.6%	-16.1%	-13.8%	-17.3%	-14.6%	-13.3%	-13.3%
	KR SLS + LFF	-	-	-	-	-	-	-	-0.3%	-0.6%	-0.9%	-1.1%	-1.4%	-0.8%	-0.8%
UE	KR PH LFF	-	-	-	-	-	-	-	-3.7%	-11.0%	-16.5%	-19.3%	-22.9%	-14.7%	-14.7%
	KR LFF	-	-	-	-	-	-	-	-1.1%	-2.1%	-3.2%	-3.1%	-4.1%	-2.7%	-2.7%
	KR SLS + LFF	-	-	-	-	-	-	-	-0.2%	-1.2%	-1.1%	-1.1%	-1.1%	-0.9%	2 -0.9%

[Backup] Rationale for order increment and estimated SHP direct cost (79.5k USD) comes from increased SKU 'pitch to inbound' conversion rate (1.4x increase) and projected new FBS SKU efficiency (1.9x of current SKU Efficiency)

PH Air Consol Treatment SKU Profile

	As-Is	(Projected) After Air Consol Treatment	Rationale
New FBS SKU Pitch - FBS Inbound Conversion %	0.64%	3 0.90%	24 MY case study of switching from sea to air consol showed 1.4x better new FBS SKU pitch to inbound conversion%
FBS New SKU Efficiency	1.26	4 2.4	Historical PH new FBS SKU efficiency multiplier (1.9)

Aug to Dec Estimated SHP Direct Cost (=Subsidy to Sellers)

Team	Sum of Aug-Dec ADO	Aug~Dec Recommended IB Qty	Total Weight Converted CBM Projection(m3)	Total Weight Projection(kg)
Total	**414**	**103,881**	**26,022**	**31,164** 1
--SMT1	**112**	28,215	7,068	8,464
--SMT2	**133**	33,344	8,353	10,003
--SMT3	**164**	41,039	10,280	12,312
--PSP	**5**	1,282	321	385

Metrics	Total Cost (usd$)
[A] PH Sea Gray Consol Line Haul Cost	76,352
[B] PH Air Gray Consol Line Haul Cost	367,738
[C] PH SLS Logistics Cost	288,206
[B]-[A] Sea - Air Consol Cost Gap	291,386
[B]-[C] Air Consol - SLS Cost Gap	2 **-79,532**

Total ('25 Aug-Dec) Estimated SHP Direct Cost (=Subsidy to Sellers), USD

- Based on an estimated inbound volume of 1 103k units (31,000 kg), SHP will incur a projected direct cost of 2 $79.5K from Aug to Dec to subsidize the gap between air gray consol and SLS hidden fee. Additionally, sellers will enjoy 0% commission and waived warehouse fees through Dec 2025.

FBS New SKU Pitch-to-Inbound Conversion Uplift

- PH consol's historical conversion rate from new SKU pitch to inbound averaged 0.64%. We project this to rise to 3 0.9% (1.4× increase), based on insights from our 2024 MY sea-to-air consol transition study.

FBS New SKU Efficiency Projection

- We project new SKU efficiency to grow from 1.26 to 4 2.4, which is Aug~Dec projected FBS new SKU efficiency

[Backup] Based on our '24 MY air consol case study, we expect the PH treatment group to show sustained impact even beyond M+4 from their first inbound, despite the end of subsidy support from SHP

'24 MY Air Consol Treatment Group ADO Actuals (During and Post Air Subsidy Treatment)

>>During Treatment (Actuals) *>>Post Treatment (Actuals)*

	M0	M1	M2	M3	M4	M5	M6	M7
LFF ADO	499	506	543	530	550	572	787	1,147
Shop ADO	1,001	941	957	1,080	1,178	1,176	1,395	1,709
LFF ADO% to Shop ADO	50%	54%	57%	49%	47%	49%	56%	67%

'25 PH Air Consol Treatment Group ADO Projection (ADO Projection During and Post Air Subsidy Treatment)

>>During Treatment (Projection) *>>Post Treatment (Projection)*

	M0	M1	M2	M3	M4	M5	M6	M7
Incremental ADO	17	53	82	114	148	156	164	173
LFF ADO% to Shop ADO	50%	54%	57%	49%	47%	49%	56%	67%

'24 MY Air Consol Case Study

- Based on results from the '24 MY sea-to-air consol transition study, we see not only an immediate order impact during the subsidy phase but also project sustained effects beyond this period (10x growth in M0 vs M7)

Seller Commitment

- Seller commits to inbound the SKU and quantity that SHP designates

BR 3PF Cost Analysis vs. SLS

[BR 3PF Follow up] KR-BR 3PF is not recommended, as its current cost structure is approximately 5%p less competitive than sellers' SLS end-to-end cost, primarily due to additional seller bourne customs-related taxes

Background

- KR explored the scalability of BR 3PF model as KR-BR order growth was limited due to high import taxes bourne by buyers

Conclusion

- Our cost analysis concluded that 3PF is a less competitive channel vs SLS from the seller's perspective, as the E2E cost/order is 1 5%p higher (excluding product licensing fees), primarily due to various customs-related taxes (2 total custom tax bourne by sellers 68% of CI value) . Additionally, only white channel is available.

Seller's E2E Cost by Logistics Channel

(Units, USD/Order)

BR			LFF 3PF	SLS (K-FBS)	SLS (Reve FFM)	SLS (NonFFM, seller self WHS)
			Ocean	Air	Air	Air
	[A-1] Commission		12.00%	7.35%	7.35%	7.35%
	[A-2] Commission (platform support fee only for MY)					
	[B] FSS & CCB		6.00%	6.00%	6.00%	6.00%
	[C] Transaction		2.00%	2.00%	2.00%	2.00%
	[D] PG		0.90%	0.9%	0.90%	0.9%
2	Tax	[E] Customs	68.5%	0.0%	0.0%	0.0%
		[F] VAT (GST)	0.00%	0.00%	0.00%	0.00%
	Basic Cost% (A~F)		**89.51%**	**16.36%**	**16.36%**	**16.36%**
	First Mile	[G] WHS (storage, OMS)	0.00	0.19	0.24	0.74
		[H] Pick and Pack	0.08	0.78	1.18	0.24
		[I] Seller WHS ~ FFM center	0.08	0.03	0.03	0.00
		[J] Domestic Shipping (LFF : To Port / SLS : To Door)		0.00	0.00	0.07
	[K] Linehaul	Shipping related	0.19	6.52	6.52	6.52
		IoR	0.27	0.00	0.00	0.00
		Product license		0.00	0.00	0.00
	Local WH	[L] Handling Fee	0.90	0.00	0.00	0.00
		[M] Storage Fee		0.00	0.00	0.00
	Last Mile	[N] Delivery Fee	0.00	8.82	8.82	8.82
	Operation Cost (G~N) - per order		1.51	16.35	16.80	16.40
	Operation Cost% (G~N)		**7.09%**	**74.91%**	**76.97%**	**75.15%**
1	**[M] Cost$ per order**		**$22.39**	**$19.96**	**$20.41**	**$20.02**
	Basic + Operation Cost% (A~N)		**96.60%**	**91.27%**	**93.33%**	**91.51%**
			SLS%p-3PF%p	-5%		
			SLS Cost vs. 3PF	-11%		

Linehaul Cost related Factors	
Market	BR
Category L1	Beauty
Category L2	Skincare
Category L3	(L2_Total)
Category ID	100892
Avg. CBM per unit	0.00112
Shipping amount (unit)	8,852
CBM	9.9
Is this for new item shipment? (Y/N)	No
Inventory replenishing period (days)	75
└ *# of new item*	
FSS/CCB	FSS

Basic Cost related Factors	
ADO	50
Mall/Non-Mall	Mall
GMV	82,026

FM Shipping Fee related Factors	
Avg. weight per order (kg)	0.57
Avg. weight per unit (kg)	0.36
Seller WH Location	Gyeonggi
SHP Domestic Shipping	Paid SPS

SLS/LFF Cost related Factors	
Tiering Discount	No
Pure/PFF	PFF

Assumptions
1. Beauty brand ADO= 50
2. White channel

-EOD-
Thank you!